Leadership Styles

Unit 1 · 1.3.4.5 Managing people

Management vs leadership

- **Leadership** — inspiring people: vision, motivation, future focus, influence, driving change and taking risks.
- **Management** — organising work: planning and controlling, present focus, authority and rules, seeking stability.

The four leadership styles

- **Autocratic** — leader makes all decisions, little delegation, top-down communication. Fast in a crisis but can demotivate.
- **Paternalistic** — largely top-down but acts in workers' best interests, like a father figure (e.g. Jack Ma). Builds loyalty, little staff say.
- **Democratic** — consults the workforce before deciding. Raises motivation and ideas, but slower.
- **Laissez-faire** — staff left to get on with the job. Suits skilled, creative teams, but risks lack of direction.

The best style **depends on the situation** — the task, the staff and how fast decisions are needed. Many firms use a hybrid, varying style by department.